

Name: Abdelrhman Mohamed Abdelhady Hodib

ID: 2022513643

Course: Game Theory

Task: Solution of Quiz

① Payoff of each company = Their company - other company

② If (difference ≤ 100) $\Rightarrow$ lower company $+$ = 30
else $\Rightarrow$ lower company $+$ = 50

③ Price of 1st company = Price of 2nd company $\Rightarrow$ Both get 0

$$-50 + 30 = -20$$

② game frame:

		Beta		
		750	800	850
Alpha	800	50, -20	0, 0	-20, 50
	700	-20, 50	-70, 100	-100, 150
	900	150, -100	100, -70	50, -20

⑥ in Alpha player:

① 900 strictly dominates 800, 700.

② 800 strictly dominates 700

in Beta Player :

① 800 strictly dominates 750

② 850 strictly dominates 750, 800

③ The strategy shot at in yellow is a strict dominant strategy.